

The Case for Flexibility in an Uncertain Equity Market

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Flexibility in equity investing becomes an advantage when market leadership keeps changing.

Who doesn't like the flexibility to work from office or home depending on their schedule, priorities and personal circumstances? Or to choose a home loan with a flexi EMI option that allows the instalment amount to be adjusted based on fluctuations in income? Or to book a flexi flight ticket that allows you to change your dates or cancel your plans when circumstances change?

Yes, flexibility is always beneficial. And this preference for flexibility is becoming evident in investing too. As of June 2026, data from AMFI shows that Flexi-cap funds are the largest equity fund category in terms of assets under management, with about ₹5.81 lakh crore in assets, marginally ahead of sectoral/thematic funds at ₹5.47 lakh crore.

Flexi-cap mutual funds, as the name suggests, are flexible in their allocations to the different market capitalisations. They can allocate across large, mid and small-cap segments based on the prevailing market conditions, valuations and the relative attractiveness of each segment. Unlike other equity fund categories, flexi-cap funds have no minimum or maximum allocation requirements to each market cap, making them truly flexible.

But why the need for flexibility in equity investing?

Equity markets can be challenging to navigate, with different segments of the markets tending to outperform and underperform at different points in the market cycle. As market conditions evolve, a fund focussed on only one market segment may become vulnerable to that segment's risks and also potentially miss out on emerging opportunities in other segments. For example, if large-cap segment sees a sharp correction, largecap funds too would naturally be impacted by its exposure to the segment. The fund's mandate would limit the ability to significantly reallocate towards mid or small-cap stocks, even if those segments

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are relatively better opportunities at that point in time.

A flexible portfolio, on the other hand, would be able to adjust allocations to respond to changing market conditions.

Because leadership between large, mid and small-cap stocks can shift over the course of a market cycle, a fund that can tactically adapt its allocation between market-cap segments can capture opportunities while managing concentration risk across market-cap segments. In the above example, a flexi-cap fund could timely reduce exposure to large-cap stocks and increase allocation to mid and small-cap stocks if the fund manager believes these segments offer better risk-return opportunities.

The need for such flexibility is particularly relevant in today's market environment. The ongoing war in West Asia and disruptions in the Strait of Hormuz are adding pressure to energy costs and raising business input costs, with implications for corporate margins. Global inflation pressures and uncertainty over the path of monetary policy are also keeping financial conditions and growth prospects in focus. Optimism around artificial intelligence continues to divert foreign capital away from India and into AI-centric stocks and economies, increasing domestic stock market's dependence on domestic institutional flows. Uncertainty related to US tariffs is also hurting business sentiment and clouding business outlook. A weaker monsoon outlook poses a risk to agricultural output and rural incomes. Domestic stock market valuations, while more reasonable than their recent peaks, remain moderately elevated. Despite these headwinds, the RBI has projected real GDP growth of 6.6% and CPI inflation of 5.1% for FY27 in its June 2026 monetary policy review.

Accordingly, different market segments are likely to respond differently to these different market developments. In such an unpredictable market, the flexibility offered by flexi-cap funds may thus not just be nice to have, but could be an important advantage.